

WARRANTY ATLAS · Rhode Island (RI)

Law last amended: 2026 (eff. 2026-10-01) · Next scheduled change: none found · Last verified: 2026-10-06 · Built 2026-10-06

Cites: R.I. Gen. Laws § 31-5.1-6; R.I. Gen. Laws § 31-5.1-12 (enforcement; license); R.I. Gen. Laws § 31-5.1-13 (civil remedies)

Distributor-franchised state: dealers here are franchised by Subaru of New England, Inc., an independent regional distributor. The rules below apply to the franchisor that holds the dealer's franchise; confirm with Legal how they apply to programs run by the manufacturer's U.S. company.

Labor reimbursement by coverage type

Coverage	Status	Paid hours	Pinpoint / date note
Factory warranty	Required	Actual technician time	§ 31-5.1-6(c) (as amended eff. 10/1/2026)
Mfr-backed service contract	Not addressed	-	§ 31-5.1-6(a)
CPO warranty	Required	Actual technician time	§ 31-5.1-6(a) (as amended eff. 10/1/2026)
Independent service contract	Not addressed	-	§ 31-5.1-6(a)

Hourly rate: Dealer retail rate: total labor sales ÷ total labor hours from all non-warranty customer-paid ROs for the month before submission. Presumed fair. Manufacturer may rebut within 30 days as unfair and unreasonable versus same line-make dealers in the vicinity. Protest goes to the Department. At most twice per calendar year. Unchanged by S 2347A except for adding 'non-warranty' and distributors and factory branches.

Audit fields

Field	Rule	Pinpoint
Claim decision	30 days; late claim deemed approved: Yes. Written notice within 45 days with a detailed explanation of the reasons for disapproval. For time-based denials the OEM must provide evidence that the technician did not spend the time or that the submission did not comply.	§ 31-5.1-6(a), (i)(2)(i)-(iii), (i)(3)(iii), (i)(4) as amen...
Payment	30 days after approval. Dealer filing deadline: Manufacturer must allow at least 90 days for dealers to submit claims. 45 days from receipt of a disapproval to resubmit a corrected claim. The OEM may protest a corrected claim to the Department with...	
Chargebacks	12 months; fraud: does not limit charge back of any claim proven fraudulent. Only claims the manufacturer shows are false or unsubstantiated, within 12 months of payment or credit. No chargeback for an incidental failure (clerical error or technicality) once the claim is properly resubmitted. From 10/1/2026, audits or chargebacks may...	§ 31-5.1-6(i)(3)(i)-(iv)
Rate resubmission	no more than twice in one calendar year. Sample: All qualifying ROs, prior calendar month. Excluded: Discounted / promotional, Other (see text), Engine / transmission assembly, Routine maintenance, Tires, Prep / reconditioning.	§ 31-5.1-6(c), (d), (f); parts at (b)
Mfr response	30 days; no response = approved: Yes. Challenge: Rate is unfair and unreasonable in light of the practices of all other franchised dealers in the vicinity offering the same line-make. From 10/1/2026 the PARTS standard compares 'advertised retail rates' for warranty-like repairs in the 'relevant market area'... Forum: Department (of Revenue, per § 31-5.1-3(c)): dealer protest within 30....	§ 31-5.1-6(c)
Penalties	Superior court civil action: injunction, actual damages, costs and reasonable attorney's fee (§ 31-5.1-13) Department show-cause hearing; license revocation or suspension on a finding of noncompliance (§ 31-5.1-12)	R.I. Gen. Laws §§ 31-5.1-12, 31-5.1-13
Audit procedures	Audit climate score 25/100 (Moderate restrictiveness; chargeback limits 19/75 + process and oversight 6/25; measures how strict the law is, not how likely a dispute is; weights in draft). Advance notice: no; selection basis disclosed: no; frequency cap: No 'unreasonable' warranty audit or chargeback (q...; written reasons: yes; response period: 60 days; internal appeal: no; held pending appeal: no; extrapolation: silent; clerical-error protection: yes; rate validation: broader or no procedure.	

Statute quotes

Claims (§ 31-5.1-6(a), (i)(2)(i)-(iii), (i)(3)(iii), (i)(4) as amen...): "A claim not approved or disapproved within thirty (30) days of receipt shall be deemed approved. ... Payment of, or credit issued on, a claim filed under this section shall be made within thirty (30) days of approval."

Chargebacks (§ 31-5.1-6(i)(3)(i)-(iv)): "Shown by the manufacturer or distributor to be false or unsubstantiated, the manufacturer or distributor may charge back the claim within twelve (12) months from the date the claim was paid or credit issued"

Rate (§ 31-5.1-6(c), (d), (f); parts at (b)): "submitting to the manufacturer or distributor all non-warranty customer-paid service repair orders covering repairs made during the month prior to the submission and dividing the amount of the dealer's total labor sales by the number of total labor hours"

Factory time (§ 31-5.1-6(c) (as amended eff. 10/1/2026)): "Compensation for warranty labor shall equal the dealer's non-warranty labor rate multiplied by the actual time worked by the dealer's technician performing necessary repairs"

Notes

Fields show the rules in force since 10/1/2026 (P.L. 2026 ch. 179/180, identical text; enacted text checked against law26180). The codified site still showed pre-amendment text on 2026-10-06. What changed on 10/1/2026: (a) dealers get at least 90 days to submit claims, and retail-rate reimbursement extends to CPO warranty or recall issued by the manufacturer, distributor, factory branch, common entity or agent. (c) warranty labor = non-warranty labor rate x the technician's actual time, shown by time punch including diagnostic and OEM tech-assist time, with a dealer attestation. (h) no unreasonable audits or chargebacks, and technicians must meet reasonable qualifications; either party may appeal to the Department. (i)(4) written denial with a detailed explanation 'within forty-five (45) days', 45 days to resubmit, OEM bears the burden on time-based denials, and the OEM may protest a co...

Source: official · <https://webserver.rilegislature.gov/Statutes/TITLE31/31-5.1/31-5.1-6.htm> (current codified text). 10/1/2026 changes: ht... · Confidence: high. Public-source research summary for audit planning, not legal advice. No SOA-approved rates. Confirm against the cited statute; escalate disputes to Legal.